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Assessing risk and evaluating partnerships during a downturn



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“A crisis is a terrible thing to waste.” -Paul Romer, Stanford economist

There are always opportunities within any crisis — and the pandemic is no exception. For startups like ours, the right partnerships are make-or-break. They can be an

accelerant to our growth or a costly distraction.

But how to evaluate partners in the world that seems upside down?

It's a balance between upside potential with downside risks. On one hand, you need to protect your business by only working with reputable partners that are solvent and able to pay the bills. On the other hand, the global downturn in travel has challenged even the most financially secure businesses. So it may not always be possible to only work with the most stable partners.

With that in mind, here's how we assess partners and mitigate risk and identify potential partnerships that are mutually-beneficial and built to last.

Risk: Delayed payments



Cash flow is a concern for all businesses. Without it, a business can quickly find itself in peril. Make an honest (and even conservative) assessment of a potential partner's ability to pay its bills on time. Delayed payments may constrain your own cash flow and put your business at risk. So you'll have to balance the opportunity with the risk: does the benefit of doing business with this partner outweigh the risk of cash flow issues?

To mitigate some of the risks, adjust your payment terms according to this assessment. If there's an opportunity to get more business from this partner, then it may be worth the risk of extending favorable payment terms. On the other hand, if the partner looks shaky, you may want to shorten your payments window to make sure that the partner doesn't run up its bills without paying.

Risk: Supplier default

This brings us to the second risk: supplier default. Keep a close eye on your accounts receivable; if you notice account balances and payment windows expanding, it may be time to cut off access to stem further risk. Businesses that struggle to pay their bills on

time are more likely to default and you don't want to be on the hook for more than you already are.

Before signing a deal with a supplier, you can also create a cash flow analysis. Plot your forecasted revenues from this partner alongside the negotiated payment terms to make sure that you won't jeopardize your own business by extending too much credit. You can also expand this analysis by rolling the forecasted revenues and payment terms into a broader business forecast so you can see if the potential upside is greater than the risks of non-payment and default.

Risk: Refunds, chargebacks, and disputes

Depending on the relationship, you may also be at risk of greater payment complexity around refunds and chargebacks. Each supplier has its own tolerance for these issues; the East distribution channel has its own demographic that may be more or less likely to cause complexity around refunds, chargebacks, and disputes.

As a supplier, especially a hotel that takes payment locally, much of the burden lands on their shoulders. For merchant models, like OTAs, there's more protection against that sort of behavior, as the centralized payments somewhat shield individual suppliers.

Risk: Competing interests

Another risk to consider is the broader travel ecosystem and the number of competing interests that might influence the partnership. Suppliers want the money immediately for bookings while OTAs want refunds to be processed quickly. And in a downturn, airlines face higher scrutiny from acquiring banks, who are held responsible in case of insolvency. There's a higher pressure on cash flow and that can lead to more aggressive tactics all around.

Make an honest appraisal of how the potential partner fits into not just your internal roadmap but also the broader industry ecosystem. This helps you evaluate risk and uncover potential issues that may cascade down to your business — both positively and negatively. For example, if a potential partner works with others similar to your startup, will you be prioritized? On the flip side, if the partner is looking to you as a key strategic partner, are you able to deliver? The old adage of under-promise and over-deliver is often true when it comes to partnerships. The last thing you want is to get to a pilot and fail to deliver, scuttling the relationship permanently.

Risk: Reputational damage

When you select a partner, your reputation is intertwined. That's doubly true if the partner will be serving your customers or otherwise representing your brand in a visual

way.

One way to determine the reputational fit is to consider the motivations of the potential partners. Why are they thinking of doing a deal? What do they get out of it? Are their expectations clear or is there room for interpretation (which could lead to conflict later)? What does success look like for both parties? The answers to these questions help determine alignment and culture fit — the two main ingredients of a successful partnership

Time are changing

One of the biggest benefits of partnerships is that the sum can be greater than its parts. Times are changing, and it's actually more risky and dangerous to cling to how things have always been done. If you don't innovate, someone else will — and potentially put you out of business.

But the wrong partners can also disadvantage your startup and ultimately threaten its very existence. As you build beneficial partnerships that work for your business, stay smart, be creative, use data, and trust your instincts.

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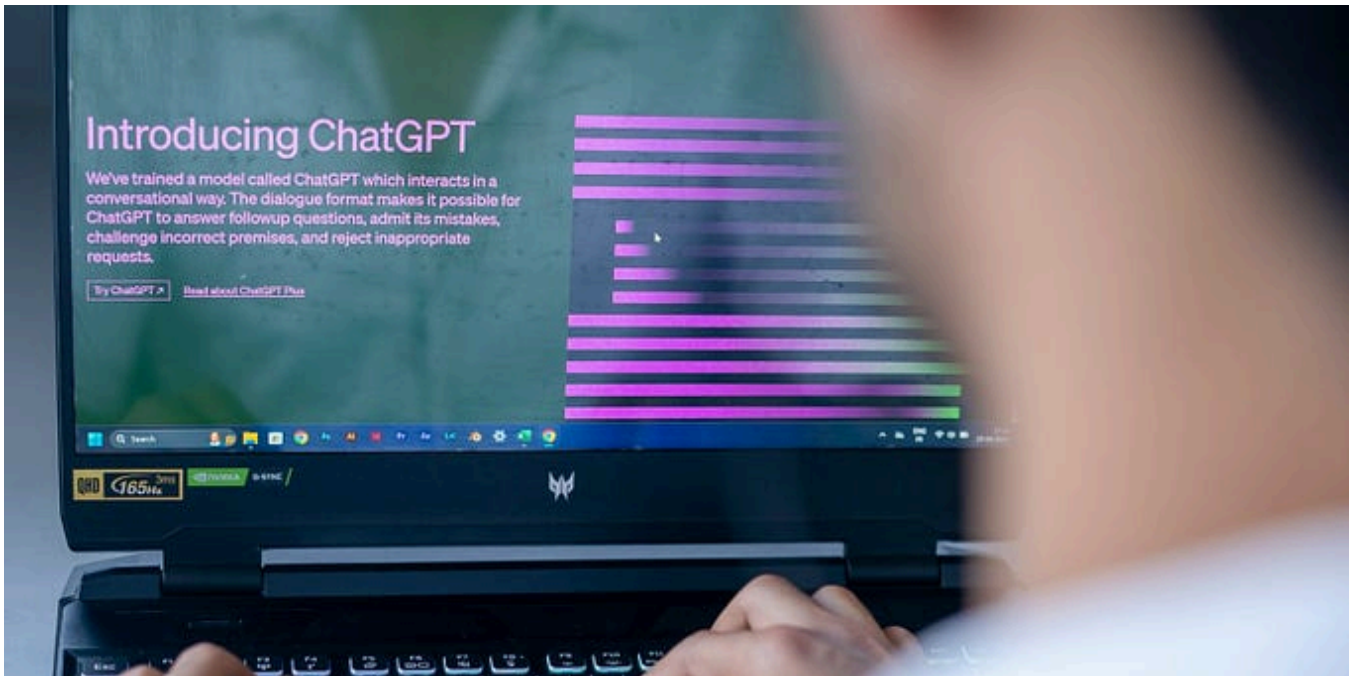
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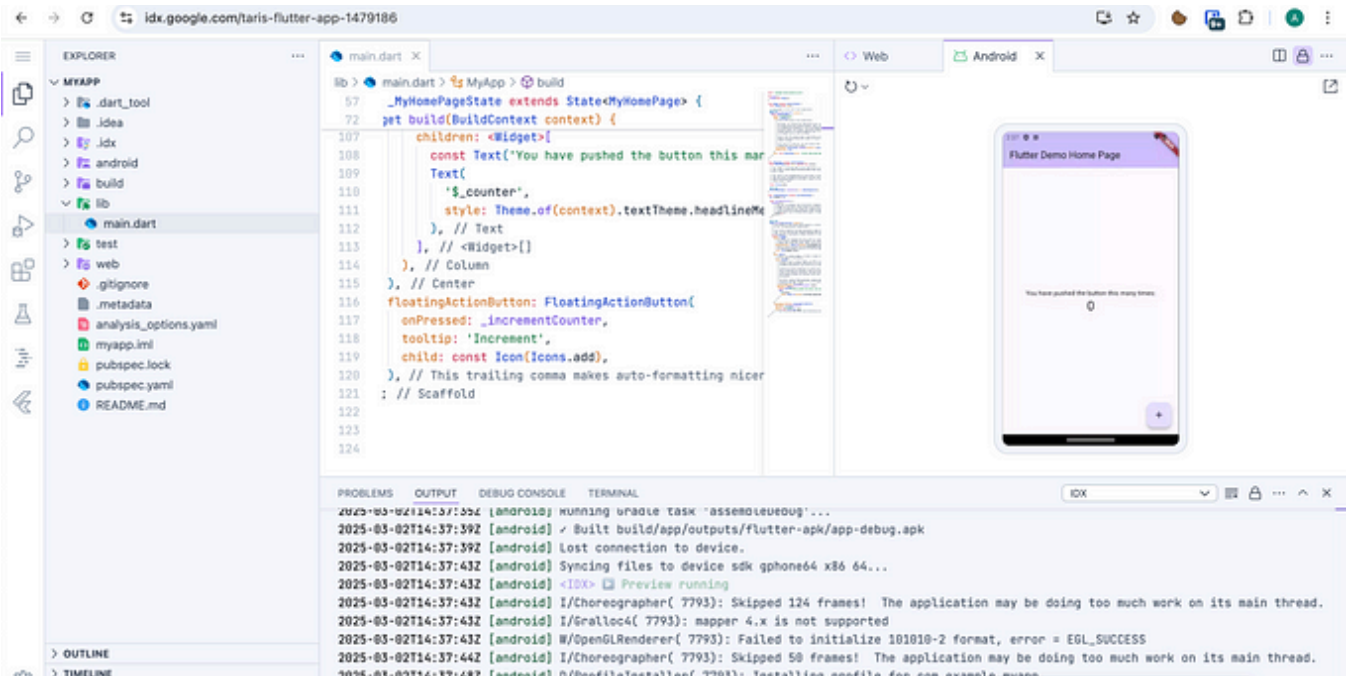
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